	12% Debentures	2,00,000	1,50,000
		2,00,000	**1,50,000**

Details of Trade receivables and trade payables are as under:

	P Ltd. (₹)	Q Ltd. (₹)
Trade receivables:		
Debtors	3,60,000	1,90,000
Bills Receivable	60,000	20,000
	4,20,000	**2,10,000**
Trade payables:		
Sundry Creditors	2,20,000	1,25,000
Bills Payable	30,000	25,000
	2,50,000	**1,50,000**

Property, plant and equipment of both the companies are to be revalued at 15% above book value. Both the companies are to pay 10% Equity dividend, but Preference dividend having been already paid.

After the above transactions are given effect to, P Ltd. will absorb Q Ltd. on the following terms:

(i) 8 Equity Shares of ₹ 10 each will be issued by P Ltd. at par against 6 shares of Q Ltd.

(ii) 10% Preference Shareholders of Q Ltd. will be paid at 10% discount by issue of 10% Preference Shares of ₹ 100 each at par in P Ltd.

(iii) 12% Debenture holders of Q Ltd. are to be paid at 8% premium by 12% Debentures in P Ltd. issued at a discount of 10%.

(iv) ₹ 30,000 is to be paid by P Ltd. to Q Ltd. for Liquidation expenses. Sundry Creditors of Q Ltd. include ₹ 10,000 due to P Ltd.

(v) Inventory in Trade and Debtors are taken over at 5% lesser than their book value by P Ltd.

Prepare:

(a) Journal entries in the books of P Ltd.

(b) Statement of consideration payable by P Ltd.

Answer

(a) Journal Entries in the Books of P Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Property, Plant and Equipment	Dr.	1,05,000	
	To Revaluation Reserve A/c			1,05,000
	(Revaluation of PPE at 15% above book value)			
	Reserve and Surplus	Dr.	60,000	
	To Equity Dividend A/c			60,000
	(Declaration of equity dividend @ 10%)			
	Equity Dividend	Dr.	60,000	
	To Bank A/c			60,000
	(Payment of equity dividend)			

	Business Purchase	Dr.	4,90,000	
	To Liquidator of Y Ltd. A/c			4,90,000
	(Consideration payable for the business taken over from Q Ltd.)			
	Property, Plant and Equipment (115% of ₹ 2,50,000)	Dr.	2,87,500	
	Inventory (95% of ₹ 3,20,000)	Dr.	3,04,000	
	Debtors	Dr.	1,90,000	
	Bills Receivable	Dr.	20,000	
	Investment	Dr.	80,000	
	Cash at Bank (₹ 40,000 – ₹ 30,000 dividend paid)	Dr.	10,000	
	To Provision for Bad Debts A/c (5% of ₹ 1,90,000)			9,500
	To Sundry Creditors A/c			1,25,000
	To 12% Debentures in Q Ltd. A/c			1,62,000
	To Bills Payable A/c			25,000
	To Business Purchase Account A/c			4,90,000
	To Capital Reserve A/c (Balancing figure)			80,000
	(Incorporation of various assets and liabilities taken over from Q Ltd. at agreed values and difference of net assets and purchase consideration being credited to Capital Reserve)			
	Liquidator of Q Ltd.	Dr.	4,90,000	
	To Equity Share Capital A/c			4,00,000
	To 10% Preference Share Capital A/c			90,000
	(Discharge of consideration for Q Ltd.' s business)			
	12% Debentures in Q Ltd. (₹ 1,50,000 x 108%)	Dr.	1,62,000	
	Discount on Issue of Debentures	Dr.	18,000	
	To 12% Debentures A/c			1,80,000
	(Allotment of 12% Debentures to debenture holders of Q Ltd. at a discount of 10%)			
	Sundry Creditors of Q Ltd.	Dr.	10,000	
	To Sundry Debtors of P Ltd.			10,000
	(Cancellation of mutual owing)			
	Capital Reserve	Dr.	30,000	
	To Bank A/c			30,000
	(Being liquidation expenses reimbursed to Q Ltd.)			

(b) Statement of Consideration payable by P Ltd. for 30,000 shares (payment method):

Shares to be allotted = (30,000/6) x 8 = 40,000 shares of P Ltd.

(i)	Issued 40,000 shares of ₹ 10 each i.e.	₹ 4,00,000
(ii)	For 10% preference shares, to be paid at 10% discount [(₹ 1,00,000 x 90)/100]	₹ 90,000
(iii)	Consideration amount [(i) + (ii)]	**₹ 4,90,000**

Question 21

The summarized Balance Sheets of Black Limited and White Limited as on 31st March, 20X1 is as follows:

Particulars			Notes	(in'000)	
				Black Limited	White Limited
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,000	3,600
	(b)	Reserve and surplus	2	1,080	660
2		**Current liabilities**			
	(a)	Trade Payables		600	360
		Total		**7,680**	**4,620**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		3,600	2,400
2		**Current Assets**			
	(a)	Inventories		960	720
	(b)	Trade receivables		1,680	1,080
	(c)	Cash and Cash equivalents		1,440	420
		Total		**7,680**	**4,620**

Notes to Accounts **(₹ in 000)**

S. No.	Particulars	Black Limited	White Limited
1	**Share Capital**		
	Equity Shares of ₹ 100 each	**6,000**	**3,600**
2	**Reserves and Surplus**		
	General Reserve	360	180
	Profit and Loss Account	720	480
		1,080	**660**

Black Limited takes over White Limited on 1st July, 20X1.

No Balance Sheet of White Limited is available as on that date. It is, however estimated that White Limited earned profit of ₹ 2,40,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment, during April-June, 20X1.

Estimated profit of Black Limited during these 3 months was ₹ 4,80,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment.

Both the companies have declared and paid 10% dividend within this 3 months' period.

Goodwill of White Limited is valued at ₹ 2,40,000 and Property Plant and Equipment are valued at ₹ 1,20,000 above the depreciated book value on the date of takeover.

Purchase consideration is to be satisfied by Black Limited by issuing shares at par. Ignore income tax. You are required to:

(i) Compute No. of shares to be issued by Black Limited to White Limited against purchase consideration.

(ii) Calculate the balance of Net Current Assets of Black Limited and White Limited as on 1st July, 20X1.

(iii) Give balance of Profit or Loss of Black Limited as on 1st July, 20X1.

(iv) Give balance of Property Plant and Equipment as on 1st July, 20X1 after takeover.

Answer

(i) No. of shares issued by Black Ltd. to White Ltd. against purchase consideration

White Ltd.		**₹**	**₹**
Goodwill			2,40,000
Property, plant and equipment		24,00,000	
Less: Depreciation [24,00,000 x 10% x 3/12]		(60,000)	
		23,40,000	
Add: Appreciation		1,20,000	24,60,000
Inventory			7,20,000
Trade receivables			10,80,000
Cash and Bank balances		4,20,000	
Add: Profit after depreciation	2,40,000		
Add: Depreciation (non-cash)	60,000	3,00,000	
Less: Dividend [36,00,000 x 10%]		(3,60,000)	3,60,000
			48,60,000
Less: Trade payables			(3,60,000)
Purchase Consideration			**45,00,000**
Number of shares to be issued by Black Ltd. @ ₹ 100 each			**45,000 shares**

(ii) Calculation of Net Current Assets as on 01.07.20X1

		Black Ltd.		**White Ltd.**
Current assets:				
Inventory		9,60,000		7,20,000
Trade receivables		16,80,000		10,80,000
Cash and Bank:	14,40,000		4,20,000	
Less: Dividend	(6,00,000)		(3,60,000)	
Add: Profit after depreciation	4,80,000		2,40,000	
Add: Depreciation being non cash	90,000	14,10,000	60,000	3,60,000
		40,50,000		21,60,000
Less: Trade payables		(6,00,000)		(3,60,000)
		34,50,000		**18,00,000**

(iii) Profit and Loss Account balance of Black Ltd. as on 1.07.20X1

	₹
P&L A/c balance as on 31.03.20X1	7,20,000
Less: Dividend paid	(6,00,000)

	1,20,000
Add: Estimated profit for 3 months after charging depreciation	4,80,000
	6,00,000

(iv) Property, plant and equipment as on 01.07.20X1

Property, plant and equipment of Black Ltd. as on 31.03.20X1		36,00,000
Less: Depreciation for 3 months [36,00,000 x 10% x 3/12]		(90,000)
		35,10,000
PPE of White Ltd. Taken over as on 31.03.20X1	24,00,000	
Less: Proportionate depreciation for 3 months on fixed assets	(60,000)	
	23,40,000	
Add: Appreciation above the estimated book value	1,20,000	24,60,000
Total Property, plant and equipment as on 1.7.20X1		**59,70,000**

Accounting for Amalgamation in Nature of Purchase [In Selling & Purchasing Company]

Question 22

Following is summarized Balance Sheet of Light Limited and Bright Limited as at 31.3.20X1: **(₹ in Lakhs)**

Particulars			Notes	Light Limited	Bright Limited
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	50.00	40.00
	(b)	Reserve and surplus	2	1,260	990
2		**Non-current liabilities**			
	(a)	Long-term provisions		1.50	–
3		**Current liabilities**			
	(a)	Trade Payables		3.40	2.00
		Total		**81.90**	**66.00**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	68.70	50.25
2		**Current Assets**			
	(a)	Inventories		5.75	7.10
	(b)	Trade receivables		4.30	5.80
	(c)	Cash and Cash equivalents		3.15	2.85
		Total		**81.90**	**66.00**

Notes to accounts **(₹ in lakhs)**

S. No.	Particulars	Light Limited	Bright Limited
1.	**Share Capital**		

	50,000 Equity Shares of ₹ 100 each	**50.00**	**40.00**
2.	**Reserves and Surplus**		
	Statutory Reserve	2.00	–
	General Reserve	18.00	15.00
	Securities Premium	–	5.00
	Profit and Loss	7.00	4.00
		27.00	**24.00**
3.	**Property, Plant and Equipment**		
	Land and Building	58.00	44.00
	Plant and machinery	7.50	4.50
	Other Assets	3.20	1.75
		68.70	**50.25**

Other Information:

(i) A company Rainbow Limited is formed to acquire the Assets and Liability of both the companies. Assets were acquired at book values except Land and Building of Light Limited, which is revalued at ₹ 62 lakhs.

(ii) Other Assets of Bright Limited are obsolete and are scrapped and sold for ₹ 50,000 by Bright Limited itself before acquisition of its assets and liabilities by Rainbow Limited.

(iii) Light Limited and Bright Limited will be issued 80,000 and 64,000 equity shares of ₹ 100 each respectively of new company Rainbow Limited in lieu of purchase consideration due to them.

You are required to Prepare:

(a) Realisation Account and Equity Shareholders Account in the books of Light Limited and Bright Limited;

(b) Opening Balance Sheet of Rainbow Limited as at 31st March, 20X1.

Answer

Adjustment in bank balance and profit & loss A/c before amalgamation

Other assets of Bright limited

	₹ In lakhs
Book value	1.75
Less: Sale proceeds	(0.50)
Loss on sale of other assets (debited to Profit & Loss A/c)	**1.25**

The new balance of Bank = 2.85 + 0.5 = 3.35 (₹ In lakhs)

The new balance of Profit & Loss A/c = 4 – 1.25 = 2.75 (₹ In lakhs)

(a) (i) Realisation Account (₹ in lakhs)

Particulars	**Light Ltd.**	**Bright Ltd.**	**Particulars**	**Light Ltd.**	**Bright Ltd.**
To Land & Building	58.00	44.00	By Long term provision	1.50	–
To Plant & machinery	7.50	4.50	By Trade payables	3.40	2.00
To Other assets	3.20	–	By Rainbow Ltd. (PC)	80.00	64.00
To Inventories	5.75	7.10			
To Trade receivable	4.30	5.80			

To Cash & Bank	3.15	3.35			
To Eq. Shareholders (profit)	3.00	1.25			
	84.90	**66.00**		**84.90**	**66.00**

(ii) **Shareholders Account** **(₹ in lakhs)**

Particulars	Light Ltd.	Bright Ltd.	Particulars	Light Ltd.	Bright Ltd.
To Shares in Rainbow Ltd.	80.00	64.00	By Share Capital	50.00	40.00
			By Statutory reserve	2.00	–
			By General Reserve	18.00	15.00
			By Securities premium	–	5.00
			By Profit & Loss	7.00	2.75
			By Realisation	3.00	1.25
	80.00	64.00		80.00	64.00

(b) Balance Sheet of Super Rainbow Ltd.

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	144.00
	(b)	Reserve and surplus	2	1.00
2		**Non-current liabilities**		
	(a)	Long term provisions		1.50
3		**Current liabilities**		
	(a)	Trade Payables		5.40
		Total		**151.90**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	3	121.20
		ii Intangible Asset	4	1.25
2		**Current Assets**		
	(a)	Inventory		12.85
	(b)	Trade receivables		10.10
	(c)	Cash and Cash equivalents		6.50
		Total		**151.90**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)
1.	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	1,44,000 Equity shares of ₹ 100 each	**144.00**

	(all shares are issued for consideration other than cash)	
2.	**Reserves and Surplus**	
	Statutory Reserves	2.00
	Amalgamation Adjustment Reserves	(2.00)
	Capital Reserves	1.00
		1.00
3.	**PPE**	
	Land and Buildings	106.00
	Plant and Machinery	12.00
	Other Assets	3.20
		121.20
4.	**Intangible assets**	
	Goodwill	**1.25**

Working notes:

1. Calculation of purchase consideration **(₹ In lakhs)**

	Light ltd.	**Bright Ltd.**
80,000 Equity Shares of ₹ 100	80	
64,000 Equity Shares of ₹ 100		64

2. Calculation of Net assets taken over **(₹ In lakhs)**

Particulars		**Light Ltd.**	**Bright Ltd.**
Assets taken over:			
Land and Buildings		62.00	44.00
Plant and Machinery		7.50	4.50
Other Assets		3.20	–
Inventory		5.75	7.10
Trade Receivable		4.30	5.80
Cash at Bank (2.85 + 0.50)		3.15	3.35
	(i)	**85.90**	**64.75**
Liabilities taken over:			
Long term provisions		1.50	–
Trade payable		3.40	2.00
	(ii)	**4.90**	**2.00**
Net assets taken over	**(i) – (ii)**	**81.00**	**62.75**

3. Calculation of Goodwill/Capital Reserve **(₹ In lakhs)**

Particulars	**Light Ltd.**	**Bright Ltd.**
Net Assets takeover	81.00	62.75
Less: Purchase Consideration	(80.00)	(64.00)
Goodwill/(Capital Reserve)	**(1.00)**	**1.25**

Question 23

The financial position of two companies Hari Ltd. and Vayu Ltd. as at 31st March, 20X1 was as under:

Particulars			Notes	Hari Ltd.	Vayu Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	11,00,000	4,00,000
	(b)	Reserve and surplus	2	70,000	70,000
2		**Non-current liabilities**			
	(a)	Long-term provision	3	50,000	20,000
3		**Current liabilities**			
	(a)	Trade Payables		1,30,000	80,000
		Total		**13,50,000**	**5,70,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	8,00,000	2,50,000
		ii Intangible assets	5	50,000	25,000
2		**Current Assets**			
	(a)	Inventories		2,50,000	1,75,000
	(b)	Trade receivables		2,00,000	1,00,000
	(c)	Cash and Cash equivalents		50,000	20,000
		Total		**13,50,000**	**5,70,000**

Notes to accounts

S. No.	Particulars	Hari Ltd.	Vayu Ltd.
1	**Share Capital**		
	Equity shares of ₹ 10 each	10,00,000	3,00,000
	9% Preference Shares of ₹ 100 each	1,00,000	–
	10% Preference Shares of ₹ 100 each	–	1,00,000
		11,00,000	**4,00,000**
2	**Reserves and Surplus**		
	General reserve	**70,000**	**70,000**
3	**Long term Provisions**		
	Retirement gratuity fund	**50,000**	**20,000**
4	**Property, plant and Equipment**		
	Land and Building	3,00,000	1,00,000
	Plant and machinery	5,00,000	1,50,000
		8,00,000	**2,50,000**
5	**Intangible assets**		
	Goodwill	**50,000**	**25,000**

Hari Ltd. absorbs Vayu Ltd. on the following terms:

(a) 10% Preference Shareholders are to be paid at 10% premium by issue of 9% Preference Shares of Hari Ltd.

(b) Goodwill of Vayu Ltd. is valued at ₹ 50,000. Buildings are valued at ₹ 1,50,000 and the Machinery at ₹ 1,60,000.

(c) Inventory to be taken over at 10% less value and Provision for Doubtful Debts to be created @ 7.5%.

(d) Equity Shareholders of Vayu Ltd. will be issued necessary Equity Shares @ 5% premium.

Prepare necessary Ledger Accounts to close the books of Vayu Ltd. and show the acquisition entries in the books of Hari Ltd. Also draft the Balance Sheet after absorption as at 31st March, 20X1.

Answer

In the Books of Vayu Ltd.

Realization Account

Particulars	₹	Particulars	₹
To Sundry Assets	5,70,000	By Retirement Gratuity Fund	20,000
To Preference Shareholders	10,000	By Trade payables	80,000
(Premium on Redemption)		By Hari Ltd. (Purchase Consideration)	5,30,000
To Equity SH (Profit on Realization)	50,000		
	6,30,000		**6,30,000**

Equity Shareholders Account

Particulars	₹	Particulars	₹
To Equity Shares of Hari Ltd.	4,20,000	By Share Capital	3,00,000
		By General Reserve	70,000
		By Realization Account (Profit)	50,000
	4,20,000		**4,20,000**

Preference Shareholders Account

Particulars	₹	Particulars	₹
To 9% Preference Shares of Hari Ltd.	1,10,000	By Preference Share Capital	1,00,000
		By Realization A/c (Premium on Redemption of Preference Shares)	10,000
	1,10,000		**1,10,000**

Hari Ltd. Account

Particulars	₹	Particulars	₹
To Realization Account	5,30,000	By 9% Preference Shares	1,10,000
		By Equity Shares	4,20,000
	5,30,000		**5,30,000**

Journal Entries in the Books of Hari Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase	Dr.	5,30,000	
	To Liquidators of Vayu Ltd. A/c			5,30,000

	(Being business of Vayu Ltd. taken over)			
	Goodwill	Dr.	50,000	
	Building	Dr.	1,50,000	
	Machinery	Dr.	1,60,000	
	Inventory	Dr.	1,57,500	
	Trade Receivables	Dr.	1,00,000	
	Bank A/c	Dr.	20,000	
	To Retirement Gratuity Fund Account			20,000
	To Trade payables Account			80,000
	To Provision for Doubtful Debts Account			7,500
	To Business Purchase A/c			5,30,000
	(Being Assets and Liabilities taken over as per agreed valuation)			
	Liquidator of Vayu Ltd.	Dr.	5,30,000	
	To 9% Preference Share Capital A/c			1,10,000
	To Equity Share Capital A/c			4,00,000
	To Securities Premium A/c			20,000
	(Being Purchase Consideration satisfied as above)			

Balance Sheet of Hari Ltd. (after absorption) as at 31st March, 20X1

Particulars			Notes	
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	16,10,000
	(b)	Reserve and surplus	2	90,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	70,000
3		**Current liabilities**		
	(a)	Trade Payables		2,10,000
		Total		**19,80,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	11,10,000
		ii Intangible assets	5	1,00,000
2		**Current Assets**		
	(a)	Inventories		4,07,500
	(b)	Trade receivables	6	2,92,500
	(c)	Cash and Cash equivalents		70,000
		Total		**19,80,000**

Notes to accounts

S. No.	Particulars	₹

1	**Share Capital**	
	1,40,000 Equity Shares of ₹ 10 each fully paid	14,00,000
	(40,000 Equity Shares issued in consideration other than for cash)	
	2,100 9% Preference Shares of ₹ 100 each	2,10,000
	(1,100 Preference Shares issued in consideration other than for cash)	
		16,10,000
2	**Reserves and Surplus**	
	Securities Premium	20,000
	General Reserve	70,000
		90,000
3	**Long-term provisions**	
	Retirement Gratuity fund	**70,000**
4	**Property, Plant and Equipment**	
	Buildings	4,50,000
	Machinery	6,60,000
		11,10,000
5	**Intangible assets**	
	Goodwill	**1,00,000**
6	**Trade receivables**	3,00,000
	Less: Provision for Doubtful Debts	(7,500)
		2,92,500

Working Note: Purchase Consideration

Goodwill	50,000
Building	1,50,000
Machinery	1,60,000
Inventory	1,57,500
Trade receivables	92,500
Cash at Bank	20,000
	6,30,000
Less: Liabilities:	
Retirement Gratuity Fund	(20,000)
Trade payables	(80,000)
Net Assets/Purchase Consideration	**5,30,000**
To be satisfied as under:	
10% Preference Shareholders of Vayu Ltd.	1,00,000
Add: 10% Premium	10,000
1,100 9% Preference Shares of Hari Ltd.	1,10,000
Eq. Shareholders of Vayu Ltd.: Issue of 40,000 Equity Shares of Hari Ltd. at 5% Premium	4,20,000
Total	**5,30,000**

Question 24

The financial position of X Ltd. and Y Ltd. as on 31st March, 20X6 was as under:

	X Ltd. (₹)	Y Ltd. (₹)
Equity and Liabilities		
Equity Shares of ₹ 10 each	30,00,000	9,00,000
9% Preference Shares of ₹ 100 each	3,00,000	–
10% Preference Shares of ₹ 100 each	–	3,00,000
General Reserve	2,10,000	2,10,000
Retirement Gratuity Fund (long term)	1,50,000	60,000
Trade Payables	3,90,000	2,40,000
Total	**40,50,000**	**17,10,000**
Assets		
Goodwill	1,50,000	75,000
Land & Buildings	9,00,000	3,00,000
Plant & Machinery	15,00,000	4,50,000
Inventories	7,50,000	5,25,000
Trade Receivables	6,00,000	3,00,000
Cash and Bank	1,50,000	60,000
Total	**40,50,000**	**17,10,000**

X Ltd. absorbs Y Ltd. on the following terms:

(i) 10% Preference Shareholders are to be paid at 10% premium by issue of 9% Preference Shares of X Ltd.

(ii) Goodwill of Y Ltd. on absorption is to be computed based on two times of average profits of preceding three financial years (20X4-X5: ₹ 90,000; 20X3-X4: ₹ 78,000 and 20X2-X3: ₹ 72,000). Profits of 20X2-X3 included credit of an insurance claim of ₹ 25,000 (fire occurred in 20X1-X2 and loss by fire ₹ 30,000 was booked in Profit and Loss Account of that year). In the year 20X3-X4, there was an embezzlement of cash by an employee amounting to ₹ 10,000.

(iii) Land & Buildings are valued at ₹ 5,00,000 and the Plant & Machinery at ₹ 4,00,000.

(iv) Inventories are to be taken over at 10% less value and Provision for Doubtful Debts is to be created @ 2.5%.

(v) There was an unrecorded current asset in the books of Y Ltd. whose fair value amounted to ₹ 15,000 and such asset was also taken over by X Ltd.

(vi) The trade payables of Y Ltd. included ₹ 20,000 payable to X Ltd.

(vii) Equity Shareholders of Y Ltd. will be issued Equity Shares @ 5% premium.

You are required to

(i) Prepare Realisation A/c in the books of Y Ltd.

(ii) Prepare the Balance Sheet of X Ltd. after absorption as at 31st March, 20X6.

Answer

In the Books of Y Ltd.

Realisation Account

Particulars		₹	Particulars	₹
To Sundry Assets:			By Retirement Gratuity Fund	60,000
Goodwill	75,000		By Trade payables	2,40,000
Land & Building	3,00,000		By X Ltd. (Purchase Consideration)	15,90,000
Plant & Machinery	4,50,000			
Inventory	5,25,000			
Trade receivables	3,00,000			
Bank	60,000	17,10,000		
To Pref. Sh. holders		30,000		
To Eq. Shareholders (Profit on Realisation)		1,50,000		
		18,90,000		**18,90,000**

Balance Sheet of X Ltd. (after absorption) as at 31st March, 20X6

Particulars			Notes	Amount
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	48,30,000
	(b)	Reserve and surplus	2	2,70,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	2,10,000
3		**Current liabilities**		
	(a)	Trade Payables	4	6,10,000
		Total		**59,20,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	33,00,000
		ii Intangible asset	6	3,00,000
2		**Current Assets**		
	(a)	Inventories	7	12,22,500
	(b)	Trade receivables	8	8,72,500
	(c)	Cash and Cash equivalents	9	2,10,000
	(d)	Other current Assets	10	15,000
		Total		**59,20,000**

Notes to accounts

S. No.	Particulars	Vayu Ltd.
1	**Share Capital**	
	Equity share capital	
	4,20,000 Equity Shares of ₹ 10 each fully paid	42,00,000
	(Out of above 1,20,000 Equity Shares issued in consideration other than for cash)	

	Preference share capital	
	6,300 9% Preference Shares of ₹ 100 each	6,30,000
	(Out of above 3,300 Preference Shares issued in consideration other than for cash)	
		48,30,000
2	**Reserves and Surplus**	
	Securities Premium	60,000
	General Reserve	2,10,000
		2,70,000
3	**Long-term provisions**	
	Retirement Gratuity fund	**2,10,000**
4	**Trade payables** (3,90,000 + 2,40,000 – 20,000 Mutual Owings)	**6,10,000**
5	**Tangible assets**	
	Land & Buildings	14,00,000
	Plant & Machinery	19,00,000
		33,00,000
6	**Intangible assets**	
	Goodwill (1,50,000 +1,50,000)	**3,00,000**
7	**Inventories** (7,50,000 + 4,72,500)	**12,22,500**
8	**Trade receivables** (6,00,000 + 3,00,000 – 20,000 – 7,500)	**8,72,500**
9	**Cash and cash equivalents** (1,50,000 + 60,000)	**2,10,000**
10	**Other current Assets**	**15,000**

Working Notes:

1. Computation of goodwill

Profit of 20X4-X5	90,000
Profit of 20X3-X4 adjusted (₹ 78,000 + 10,000)	88,000
Profit of 20X2-X3 adjusted (₹ 72,000 – 25,000)	47,000
	2,25,000
Average profit	75,000

Goodwill to be valued at 2 times of average profits = ₹ 75,000 x 2 = ₹ 1,50,000

2. Purchase Consideration:

	₹
Goodwill	1,50,000
Land & Building	5,00,000
Plant & Machinery	4,00,000
Inventory	4,72,500
Trade receivables	3,00,000
Unrecorded assets	15,000
Cash at Bank	60,000
	18,97,500

Less: Liabilities:		
Retirement Gratuity	60,000	
Trade payables	2,40,000	
Provision for doubtful debts	7,500	(3,07,500)
Net Assets/Purchase Consideration		**15,90,000**
To be satisfied as under:		
10% Preference Shareholders of Y Ltd.		3,00,000
Add: 10% Premium		30,000
9% Preference Shares of X Ltd.		3,30,000
Equity Shareholders of Y Ltd. to be satisfied by issue of 1,20,000 equity Shares of X Ltd. at 5% Premium		12,60,000
Total		**15,90,000**

Question 25

The following information from Balance Sheet of X Ltd. as at 31st March, 20X1:

	₹
4,000 Equity shares of ₹ 100 each	4,00,000
10% Debentures	2,00,000
Loans	80,000
Trade payables	1,60,000
General Reserve	40,000
Building	1,70,000
Machinery	3,20,000
Inventory	1,10,000
Trade receivables	1,30,000
Bank	68,000
Patent	65,000
Share issue Expenses	17,000

Y Ltd. agreed to absorb X Ltd. on the following terms and conditions:

(1) Y Ltd. would take over all assets, except bank balance and Patent at their book values less 10%. Goodwill is to be valued at 4 year's purchase of super profits, assuming that the normal rate of return be 8% on the combined amount of share capital and general reserve.

(2) Y Ltd. is to take over trade payables at book value.

(3) The purchase consideration is to be paid in cash to the extent of ₹ 3,00,000 and the balance in fully paid equity shares of ₹ 100 each at ₹ 125 per share.

The average profit is ₹ 62,200. The liquidation expenses amounted to ₹ 8,000. Y Ltd. sold prior to 31st March, 20X1 goods costing ₹ 60,000 to X Ltd. for ₹ 80,000. ₹ 50,000 worth of goods are still in Inventory of X Ltd. on 31st March, 20X1. Trade payables of X Ltd. include ₹ 20,000 still due to Y Ltd.

Show the necessary Ledger Accounts to close the books of X Ltd. and prepare the Balance Sheet of Y Ltd. as at 1st April, 20X1 after the takeover.

Answer

Books of X Limited

Realisation Account

Particulars	₹	Particulars	₹
To Building	1,70,000	By Trade payables	1,60,000
To Machinery	3,20,000	By Y Ltd.	6,05,000
To Inventory	1,10,000	By Equity Shareholders (Loss)	38,000
To Trade receivables	1,30,000		
To Patent	65,000		
To Bank (Exp.)	8,000		
	8,03,000		**8,03,000**

Bank Account

Particulars	₹	Particulars	₹
To Balance b/d	68,000	By Realisation (Exp.)	8,000
To Y Ltd.	3,00,000	By 10% Debentures	2,00,000
		By Loan	80,000
		By Equity shareholders	80,000
	3,68,000		**3,68,000**

10% Debentures Account

Particulars	₹	Particulars	₹
To Bank	2,00,000	By Balance b/d	2,00,000
	2,00,000		**2,00,000**

Loan Account

Particulars	₹	Particulars	₹
To Bank	80,000	By Balance b/d	80,000
	80,000		**80,000**

Share Issue Expenses Account

Particulars	₹	Particulars	₹
To Balance b/d	17,000	By Equity shareholders	17,000
	17,000		**17,000**

General Reserve Account

Particulars	₹	Particulars	₹
To Equity shareholders	40,000	By Balance b/d	40,000
	40,000		**40,000**

Y Ltd. Account

Particulars	₹	Particulars	₹
Realisation A/c	6,05,000	By Bank	3,00,000

		By Equity share in Y Ltd. (2,440 shares at ₹ 125 each)	3,05,000
	6,05,000		**6,05,000**

Equity Shares in Y Ltd. Account

Particulars	₹	Particulars	₹
To Y Ltd.	3,05,000	By Equity shareholders	3,05,000
	3,05,000		**3,05,000**

Equity Share Holders Account

Particulars	₹	Particulars	₹
To Realisation	38,000	By Equity share capital	4,00,000
To Share issue Expenses	17,000	By General reserve	40,000
To Equity shares in B Ltd.	3,05,000		
To Bank	80,000		
	4,40,000		**4,40,000**

Books of Y Limited

Balance Sheet as on 1st April, 20X1 (An extract)

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	2,44,000
	(b)	Reserve and surplus	2	61,000
2		**Current liabilities**		
	(a)	Trade Payables	3	1,40,000
	(b)	Short term borrowings (Bank overdraft)		3,00,000
		Total		**7,45,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	4,41,000
		ii Intangible asset	5	1,15,500
2		**Current Assets**		
	(a)	Inventories	6	91,500
	(b)	Trade receivables	7	97,000
		Total		**7,45,000**

Notes to Accounts

S. No.	Particulars	₹	₹
1	**Share Capital**		
	Equity share capital		
	2,440 Equity shares of ₹ 100 each		**2,44,000**

	(Shares have been issued for consideration other than cash)		
2	**Reserves and Surplus (an extract)**		
	Securities Premium		61,000
			61,000
3	**Trade payables**		
	Opening balance	1,60,000	
	Less: Inter-company transaction cancelled	(20,000)	**1,40,000**
4	**Property, Plant and Equipment**		
	Buildings		1,53,000
	Machinery		2,88,000
			4,41,000
5	**Intangible assets**		
	Goodwill (1,08,000 + 7,500)		**1,15,500**
6	**Inventories**		
	Opening balance	99,000	
	Less: Cancellation of profit upon amalgamation	(7,500)	**91,500**
7	**Trade receivables**		
	Opening balance	1,17,000	
	Less: Intercompany transaction cancelled	(20,000)	**97,000**

Working Notes:

1.	**Valuation of Goodwill**	**₹**
	Average profit	62,200
	Less: 8% of ₹ 4,40,000	(35,200)
	Super profit	27,000
	Value of Goodwill = 27,000 x 4	**1,08,000**
2.	**Net Assets for purchase consideration**	
	Goodwill as valued in W.N. 1	1,08,000
	Building	1,53,000
	Machinery	2,88,000
	Inventory	99,000
	Trade receivables (1,30,000 – 13,000)	1,17,000
	Total Assets	7,65,000
	Less: Trade payables	(1,60,000)
	Net Assets	**6,05,000**
3.	**Mode of payment of purchase consideration**	
	(i) By Cash	**3,00,000**
	(ii) By equity shares (B.F.)	**3,05,000**
	(iii) Number of equity shares to be issued = 3,05,000/125	**2,440 shares**
4.	**Unrealised Profit on Inventory**	**₹**

The Inventory of X Ltd. includes goods worth ₹ 50,000 which was sold by Y Ltd. on profit. Unrealized profit on this Inventory will be [20,000/80,000 x 50,000]	12,500
Less: As Y Ltd purchased assets of X Ltd. at a price 10% less than the book value, 10% need to be adjusted from the Inventory i.e., 10% of ₹ 50,000.	(5,000)
Amount of unrealized profit	**7,500**

Question 26

Mohan Ltd. gives you the following information as on 31st March, 20X1:

	₹
Share capital:	
Equity shares of ₹ 10 each	3,00,000
6,000, 9% cumulative preference shares of ₹ 10 each	60,000
Profit and Loss Account (Dr. balance)	1,70,000
10% Debentures of ₹ 100 each	2,00,000
Interest payable on Debentures	20,000
Trade Payables	1,50,000
Property, Plant and Equipment	3,40,000
Goodwill	10,000
Inventory	80,000
Trade Receivables	1,10,000
Bank Balance	20,000

A new company Ravi Ltd. is formed with authorised share capital of ₹ 4,00,000 divided into 40,000 Equity Shares of ₹ 10 each. The new company will acquire the assets and liabilities of Mohan Ltd. on following terms:

(i) (a) Mohan Ltd.'s debentures are paid by similar debentures in new company and for outstanding accrued interest on debentures, equity shares of equal amount are issued at par.

(b) The trade payables are paid by issue of 12,000 equity shares at par in full and final settlement of their claims.

(c) Preference shareholders are to get equal number of equity shares issued at par. Dividend on preference shares is in arrears for three years. Preference shareholders to forgo dividend for two years. For balance dividend, equity shares of equal amount are issued at par.

(d) Equity shareholders are issued one share at par for every three shares held in Mohan Ltd.

(ii) Current Assets are to be taken at book value (except inventory, which is to be reduced by 10%). Goodwill is to be eliminated. The Property, plant and equipment is taken over at ₹ 3,08,400.

(iii) Remaining equity shares of the new company are issued to public at par fully paid up.

(iv) Expenses of ₹ 5,000 to be met from bank balance of Mohan Ltd. This is to be adjusted from the bank balance of Mohan Ltd. before acquisition by Ravi Ltd.

You are required to prepare:

(a) Realisation account and Equity Shareholders' account in the books of Mohan Ltd.

(b) Bank Account and Balance Sheet with notes to accounts in the books of Ravi Ltd.

Answer

In the books of Mohan Ltd.

(i) Realisation Account

Particulars	₹	Particulars	₹
To Goodwill	10,000	By 10% Debentures	2,00,000
To Property, plant and equipment	3,40,000	By Interest accrued on debentures	20,000
To Inventory	80,000	By Trade payables	1,50,000
To Trade receivables	1,10,000	By Ravi Ltd. (P.C.) (W.N. 1)	1,65,400
To Bank (Expenses)	5,000	By Equity shareholders A/c	30,000
To Bank (20,000 – 5,000)	15,000	(loss on realization) (Bal. fig.)	
To Preference shareholder (W.N.2)	5,400		
	5,65,400		**5,65,400**

(ii) Equity shareholders' Account

Particulars	₹	Particulars	₹
To Profit & loss A/c	1,70,000	By Equity Share capital	3,00,000
To Equity shares in Ravi Ltd.	1,00,000		
To Realization A/c	30,000		
	3,00,000		**3,00,000**

In the books of Ravi Ltd.

(i) Bank Account

Particulars	₹	Particulars	₹
To Business Purchase	15,000	By Balance c/d (Bal. fig.)	1,09,600
To Equity shares application & allotment A/c (W.N. 3)	94,600		
	1,09,600		**1,09,600**

(ii) Balance Sheet as at 31st March, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	4,00,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	2	2,00,000
		Total		**6,00,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment		3,08,400
2		**Current Assets**		
	(a)	Inventories		72,000

	(b)	Trade receivables		1,10,000
	(c)	Cash and Cash equivalents		1,09,600
		Total		**6,00,000**

Notes to Accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Authorised share capital	
	40,000 equity shares of ₹ 10 each	**4,00,000**
	Issued and subscribed	
	40,000 shares of ₹ 10 each fully paid up	**4,00,000**
	(out of the above, 30,540 (W.N. 3) shares have been allotted as fully paid-up pursuant to contract without payment being received in cash)	
2	**Long Term Borrowings**	
	10% Debentures	**2,00,000**

Working Notes:

1. Calculation of Purchase consideration

	₹
Payment to preference shareholders:	
6,000 equity shares @ ₹ 10	60,000
For arrears of dividend: (6,000 x ₹ 10) x 9%	5,400
Payment to equity shareholders	
(30,000 shares x 1/3) @ ₹ 10	1,00,000
Total purchase consideration	**1,65,400**

2. Preference shareholders' Account in books of Mohan Ltd.

Particulars	₹	Particulars	₹
To Equity Shares in Ravi Ltd.	65,400	By Preference Share capital	60,000
		By Realization A/c (Bal. fig.)	5,400
	65,400		**65,400**

3. Calculation of number of Equity shares issued to public

		Number of shares
Authorized equity shares		40,000
Less: Equity shares issued for		
Interest accrued on debentures	2,000	
Trade payables of Mohan Ltd.	12,000	
Preference shareholders of Mohan Ltd.	6,000	
Arrears of preference dividend	540	
Equity shareholders of Mohan Ltd.	10,000	(30,540)
Number of equity shares issued to public at par for cash		**9,460**

Question 27

The following Balance Sheets are given as at 31st March, 20X1: **(₹ in lakhs)**

Particulars			Best Ltd.	Better Ltd.
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital (shares of ₹ 100 each, fully paid)	20	10
	(b)	Reserve and surplus	10	8
2		**Current liabilities**	20	2
		Total	**50**	**20**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	25	15
	(b)	Non current investment	5	–
2		**Current Assets**	20	5
		Total	**50**	**20**

The following further information is given:

(a) Better Limited issued bonus shares on 1st April, 20X1, in the ratio of one share for every two held, out of Reserves and Surplus.

(b) It was agreed that Best Ltd. will take over the business of Better Ltd., on the basis of the latter's Balance Sheet, the consideration taking the form of allotment of shares in Best Ltd.

(c) The value of shares in Best Ltd. was considered to be ₹ 150 and the shares in Better Ltd. were valued at ₹ 100 after the issue of the bonus shares. The allotment of shares is to be made on the basis of these values.

(d) Liabilities of Better Ltd., included ₹ 1 lakh due to Best Ltd., for purchases from it, on which Best Ltd., made profit of 25% of the cost. The goods of ₹ 50,000 out of the said purchases, remained in stock on the date of the above Balance Sheet.

Make the closing ledger in the Books of Better Ltd. and the opening journal entries in the Books of Best Ltd., and prepare the Balance Sheet as at 1st April, 20X1 after the takeover.

Answer

Ledger of Better Limited

Property, Plant and Equipment (PPE) Account

Particulars	₹	Particulars	₹
To Balance b/d	15,00,000	By Realization A/c (transfer)	15,00,000
	15,00,000		**15,00,000**

Current Assets Account

Particulars	₹	Particulars	₹
To Balance b/d	5,00,000	By Realization A/c (transfer)	5,00,000
	5,00,000		**5,00,000**

Liabilities Account

Particulars	₹	Particulars	₹
To Realization A/c	2,00,000	By Balance b/d	2,00,000
	2,00,000		**2,00,000**

Realization Account

Particulars	₹	Particulars	₹
To PPE A/c	15,00,000	By Liabilities A/c	2,00,000
To Current Assets A/c	5,00,000	By Best Limited (PC)	15,00,000
		By Shareholders A/c (Loss on Real.)	3,00,000
	20,00,000		**20,00,000**

Share Capital Account

Particulars	₹	Particulars	₹
To Sundry shareholders (transfer)	15,00,000	By Balance b/d	10,00,000
		By Reserves & Surplus (Bonus issue)	5,00,000
	15,00,000		**15,00,000**

Reserves & Surplus Account

Particulars	₹	Particulars	₹
To Share Capital (Bonus issue)	5,00,000	By Balance b/d	8,00,000
To Sundry Shareholders	3,00,000		
	8,00,000		**8,00,000**

Best Ltd.

Particulars	₹	Particulars	₹
To Realization A/c - PC	15,00,000	By Shares in Best Ltd	15,00,000
	15,00,000		**15,00,000**

Shares in Best Ltd.

Particulars	₹	Particulars	₹
To Best Ltd.	15,00,000	By Sundry Shareholders A/c	15,00,000
	15,00,000		**15,00,000**

Sundry Shareholders Account

Particulars	₹	Particulars	₹
To Realization A/c (Loss)	3,00,000	By Share Capital A/c	15,00,000
To Share in Best Ltd.	15,00,000	By Reserves & Surplus A/c	3,00,000
	18,00,000		**18,00,000**

Journal of Best Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Property, Plant and Equipment A/c	Dr.	15,00,000	
Apr. 1	Current Assets A/c	Dr.	5,00,000	

To Liabilities A/c			2,00,000
To Liquidator of Better Ltd.			15,00,000
To Capital Reserve A/c			3,00,000
(Assets & Liabilities of Better Ltd. taken over for an agreed purchase consideration of ₹ 15,00,000 as per agreement dated.....)			
Liquidator of Better Ltd.	Dr.	15,00,000	
To Share Capital A/c			10,00,000
To Securities Premium A/c			5,00,000
(Discharge of Purchase consideration by the issue of equity shares of ₹ 10,00,000 at a premium of ₹ 50 per share as per agreement)			
Trade payables A/c	Dr.	1,00,000	
To Trade Receivables A/c			1,00,000
(Amount due from Better Ltd., and included in its creditors taken over, cancelled against own Trade receivables)			
Capital Reserve A/c	Dr.	10,000	
To Current Asset (Stock) A/c			10,000
(Unrealized profit on stock included in current assets of Better Ltd. written off to Reserve Account. 20% on sale value of ₹ 50,000 shall be eliminated as unrealized profit)			

Working Note:

(i) Calculation of Purchase consideration:

Issued Capital of Better Ltd. (after bonus issue) at ₹ 100 per share ₹ 15,00,000

Purchase consideration has been discharged by Best Ltd. by the issue of shares for ₹ 10,00,000 at a premium of ₹ 5,00,000. This gives the value of ₹ 150 per share.

Balance Sheet of Best Ltd. (After absorption)

Particulars			Note No.	
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserves and Surplus	2	17,90,000
2		**Current liabilities**		21,00,000
		Total		**68,90,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	3	40,00,000
	(b)	Non current investment		5,00,000
2		**Current Assets**		23,90,000
		Total		**68,90,000**

Notes to accounts

S. No.	Particulars	₹
1	**Share Capital**	
	30,000 shares of ₹ 100	**30,00,000**
	(of the above 10,000 shares issued for consideration other than cash)	
2	**Reserves and Surplus**	
	Capital Reserve (3,00,000 – 10,000)	2,90,000
	Securities Premium	5,00,000
	Other reserves and surplus	10,00,000
		17,90,000
3	**Property, Plant and Equipment**	
	PPE	25,00,000
	Acquired during the year	15,00,000
		40,00,000

Accounting for Amalgamation in Nature of Merger

Question 28

X Co. Ltd. having share capital of ₹ 50 lakhs divided into equity shares of ₹ 10 each was taken over by Y Co. Ltd. Y Co. Ltd. issued 11 equity shares of ₹ 10 each for every 10 shares of X Co. Ltd.

Explain how the difference will be adjusted in the books of Y Co. Ltd. for the shares issued under the 'Pooling of interests method' of amalgamation as per AS 14.

Answer

Particulars	₹
Purchase consideration = 5,00,000 x 11/10 = 55,000 shares of ₹ 10 each	55,00,000
Less: Share capital of X Co. Ltd.	50,00,000
Difference Adjusted through General Reserve	**5,00,000**

Question 29

Super Express Ltd. and Fast Express Ltd. were in competing business. They decided to form a new company named Super-Fast Express Ltd. The balance sheets of both the companies were as under:

Particulars			Notes	Super Express Ltd.	Fast Express Ltd.
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	20,00,000	10,00,000
	(b)	Reserve and surplus	2	1,00,000	2,60,000
2		**Non-current liabilities**			
	(a)	Long term provisions	3	1,00,000	–
3		**Current liabilities**			

	(a)	Trade Payables		60,000	40,000
		Total		**22,60,000**	**13,00,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment		14,00,000	11,00,000
		ii Intangible assets		–	1,00,000
2		**Current Assets**			
	(a)	Inventories		3,00,000	40,000
	(a)	Trade receivables		2,40,000	40,000
	(b)	Cash and Cash equivalents		3,20,000	20,000
		Total		**22,60,000**	**13,00,000**

Notes to accounts

		Super Express Ltd.	**Fast Express Ltd.**
1.	**Share Capital**		
	Equity shares of ₹ 100 each	**20,00,000**	**10,00,000**
2.	**Reserves and Surplus**		
	Insurance reserve	1,00,000	–
	Employee profit sharing reserve	–	60,000
	Reserve account	–	1,00,000
	Surplus	–	1,00,000
		1,00,000	**2,60,000**
3.	**Long term provisions**		
	Provident fund	1,00,000	–
		1,00,000	–
4.	**Property, Plant and Equipment**		
	Land and Building	10,00,000	6,00,000
	Plant and machinery	4,00,000	5,00,000
		14,00,000	**11,00,000**
5.	**Intangible assets**		
	Goodwill	–	1,00,000
		–	**1,00,000**
6.	**Cash and Cash Equivalents**		
	Cash at Bank	2,20,000	10,000
	Cash in hand	1,00,000	10,000
		3,20,000	**20,000**

The assets and liabilities of both the companies were taken over by the new company at their book values. The companies were allotted equity shares of ₹ 100 each in lieu of purchase consideration amounting to ₹ 30,00,000 (20,000 for Super Express Ltd and 10,000 for Fast Express Ltd.).

Prepare opening balance sheet of Super-Fast Express Ltd. considering pooling method.

Answer

Balance Sheet of Super-Fast Express Ltd.

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserve and surplus	2	3,60,000
2		**Non-current liabilities**		
	(a)	Long-term provisions	3	1,00,000
3		**Current liabilities**		
	(a)	Trade Payables		1,00,000
		Total		**35,60,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	25,00,000
		ii Intangible asset	5	1,00,000
	(b)	Non-current investments		
2		**Current Assets**		
	(a)	Inventories		3,40,000
	(b)	Trade receivables		2,80,000
	(c)	Cash and Cash equivalents	6	3,40,000
		Total		**35,60,000**

Notes to Accounts

S. No.	Particulars	₹
1	**Share Capital**	
	Equity share capital	
	Issued, subscribed and paid up	
	30,000 Equity shares of ₹ 100 each	30,00,000
	Total	**30,00,000**
2	**Reserves and Surplus**	
	Reserve account	1,00,000
	Surplus	1,00,000
	Insurance reserve	1,00,000
	Employees profit sharing account	60,000
	Total	**3,60,000**
3	**Long-term provisions**	
	Provident fund	1,00,000
	Total	**1,00,000**
4	**Property, Plant and Equipment**	
	Buildings	16,00,000

	Machinery	9,00,000
	Total	**25,00,000**
5	**Intangible assets**	
	Goodwill	1,00,000
	Total	**1,00,000**
6	**Cash and cash equivalents**	
	Balances with banks	2,30,000
	Cash on hand	1,10,000
	Total	**3,40,000**

Question 30

The following are the Balance Sheets of Yes Ltd. and No Ltd. as at 31st March, 20X1: **(₹ in crores)**

Particulars			**Notes**	**Yes Ltd**	**No Ltd**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	12	5
	(b)	Reserve and surplus		88	10
2		**Non-current liabilities**			
	(a)	Long-term borrowings	2	–	10
3		**Current liabilities**		33	15
		Total		**133**	**40**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	3	20	6
	(b)	Non-current investment	4	13	–
2		**Current Assets**		100	34
		Total		**133**	**40**

Notes of accounts **(₹ in crores)**

S. No.	**Particulars**	**Yes Ltd.**	**No Ltd.**
1	**Share Capital**		
	Equity share capital		
	Authorized share capital	25	5
	Issued and subscribed:		
	Equity shares of ₹ 10 each fully paid	**12**	**5**
2	**Long term borrowings**		
	Unsecured loan from Yes Ltd.	–	**10**
3	**Property, Plant and Equipment**		
	Gross value	70	30

	Depreciation	(50)	(24)
		20	**6**
4	**Non-current investments**		
	30 lakhs equity shares of ₹ 10 each	3	–
	Long term loan to No Ltd.	10	–
		13	–

On that day Yes Ltd. absorbed No Ltd. The members of No Ltd. are to get one equity share of Yes Ltd. issued at a premium of ₹ 2 per share for every five equity shares held by them in No Ltd. The necessary approvals are obtained.

You are asked to pass journal entries in the books of the two companies to give effect to the above if the amalgamation is in the nature of merger.

Answer

Journal Entries in the books of No Ltd. **(₹ in crores)**

Date	Particulars		Debit (₹)	Credit (₹)
20X1 March 31	Realization A/c	Dr.	64.00	
	To Property, plant and equipment A/c			30.00
	To Current Assets A/c			34.00
	(Being the assets taken over transferred to Realization Account)			
	Provision for depreciation A/c	Dr.	24.00	
	Current Liabilities A/c	Dr.	15.00	
	Unsecured Loan from Yes Ltd. A/c	Dr.	10.00	
	To Realization A/c			49.00
	(Being transfer of liabilities and provision to Realization Account)			
	Yes Ltd.	Dr.	1.20	
	To Realization A/c			1.20
	(Being the amount of consideration due from Yes Ltd. credited to Realization Account)			
	Equity Shareholders A/c	Dr.	13.80	
	To Realization A/c			13.80
	(Being the loss on Realization transferred to equity shareholders account)			
	Equity Share Capital A/c	Dr.	5.00	
	Reserves and Surplus A/c	Dr.	10.00	
	To Equity Shareholders A/c			15.00
	(Being the amount of share capital, reserves and surplus credited to equity shareholders account)			
	Equity shares of Yes Ltd. A/c	Dr.	1.20	
	To Yes Ltd. A/c			1.20
	(Being the receipt of 10 lakhs equity shares of ₹ 10 each at ₹ 12 per share for allotment to shareholders)			

	Equity shareholders A/c Dr.	1.20	
	To Equity shares of Yes Ltd. A/c		1.20
	(Being the distribution of equity shares received from Yes Ltd. to shareholders)		

Journal Entries in the books of Yes Ltd. **(₹ in crores)**

Date	Particulars	Debit (₹)	Credit (₹)
20X1 March 31	Business Purchase A/c Dr.	1.20	
	To Liquidator of No Ltd. Account A/c		1.20
	(Being the amount of purchase consideration agreed under approved scheme of amalgamation – W.N.)		
	Property, plant and equipment A/c Dr.	6.00	
	Current Assets A/c Dr.	34.00	
	To Current Liabilities A/c		15.00
	To Unsecured Loan (from Yes Ltd.)		10.00
	To Business Purchase Account		1.20
	To Reserve & Surplus A/c		10.00
	To Profit & loss A/c		3.80
	(Being the assets and liabilities taken over and the surplus transferred to Profit and loss account)		
	Liquidator of No Ltd. Dr.	1.20	
	To Equity Share Capital A/c		1.00
	To Securities Premium A/c		0.20
	(Being the allotment to shareholders of No Ltd. 10 lakhs equity shares of ₹ 10 each at a premium of ₹ 2 per share)		
	Unsecured Loan (from Yes Ltd.) A/c Dr.	10.00	
	To Loan to No. Ltd A/c		10.00
	(Being the cancellation of unsecured loan given to No Ltd.)		

Working Note:

Purchase Consideration

= (50 lakhs/5) x ₹ 12 i.e., 10 lakhs equity shares at ₹ 12 per share = **₹ 1.20 crores**

Number of equity shares of ₹ 10 each to be issued (1.20 crores/12) = 10 lakhs

Question 31

The following were the Balance Sheets of P Ltd. and V Ltd. as at 31st March, 20X1: **(₹ in Lakhs)**

Particulars			Notes	P Ltd.	V Ltd.
1		**Equity and Liabilities**			
		Shareholders' funds			
	(a)	Share capital	1	15,000	6,000
	(b)	Reserve and surplus	2	15,370	4,335

2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	–	1,000
3		**Current liabilities**			
	(a)	Trade Payables		1,200	463
	(b)	Short term provisions		1,830	702
		Total		**33,400**	**12,500**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	22,304	6,750
2		**Current Assets**			
	(a)	Inventory		7,862	4,041
	(b)	Trade receivables		2,120	1,100
	(c)	Cash and Cash equivalents		1,114	609
		Total		**33,400**	**12,500**

Notes to accounts **(₹ in Lakhs)**

S. No.	Particulars	P Ltd	V Ltd
1	**Share Capital**	**15,000**	**6,000**
2	**Reserves and Surplus**		
	Securities premium	3,000	–
	Foreign project reserve	–	310
	General reserve	9,500	3,200
	Profit and loss account	2,870	825
		15,370	**4,335**
3	**Long term borrowings**		
	12% debentures	–	**1,000**
4	**Property, Plant and Equipment**		
	Land and Building	6,000	–
	Plant and machinery	14,000	5,000
	Furniture and fixtures	2,304	1,750
		22,304	**6,750**

All the bills receivable held by V Ltd. were P Ltd.'s acceptances.

On 1st April 20X1, P Ltd. took over V Ltd in an amalgamation in the nature of merger. It was agreed that in discharge of consideration for the business P Ltd. would allot three fully paid equity shares of ₹ 10 each at par for every two shares held in V Ltd. It was also agreed that 12% debentures in V Ltd. would be converted into 13% debentures in P Ltd. of the same amount and denomination.

Details of trade receivables and trade payables as under: **(₹ in lakhs)**

	P Ltd.	V Ltd.
Trade payables:		
Bills Payable	120	–

Trade Creditors	1,080	463
	1,200	**463**
Trade receivables:		
Trade debtors	2,120	1,020
Bills Receivable	–	80
	2,120	**1,100**

Expenses of amalgamation amounting to ₹ 1 lakh were borne by P Ltd.

You are required to: (i) pass journal entries in the books of P Ltd. and (ii) prepare P Ltd.'s Balance Sheet immediately after the merger.

Answer

Books of P Ltd.

Journal Entries **(₹ in Lakhs)**

Date	Particulars		Debit (₹)	Credit (₹)
20X1 April 1	Business Purchase A/c	Dr.	9,000	
	To Liquidator of V Ltd. A/c			9,000
	(Being business of V Ltd. taken over for Consideration settled as per agreement)			
	Plant and Machinery A/c	Dr.	5,000	
	Furniture & Fittings A/c	Dr.	1,750	
	Inventory A/c	Dr.	4,041	
	Debtors	Dr.	1,020	
	Cash at Bank	Dr.	609	
	Bills Receivable	Dr.	80	
	To Foreign Project Reserve A/c			310
	To General Reserve (3,200 – 3,000)			200
	To Profit and Loss A/c			825
	To Liability for 12% Debentures			1,000
	To Creditors			463
	To Provisions			702
	To Business Purchase			9,000
	(Being assets & liabilities taken over from V Ltd.)			
	Liquidator of V Ltd.	Dr.	9,000	
	To Equity Share Capital A/c			9,000
	(Purchase consideration discharged in the form of equity shares)			
	General Reserve A/c	Dr.	1	
	To Bank A/c			1
	(Liquidation expenses paid by P Ltd debited to General reserve)			
	Liability for 12% Debentures A/c	Dr.	1,000	
	To 13% Debentures A/c			1,000

	(12% debentures discharged by issue of 13% debentures)		
	Bills Payable A/c Dr.	80	
	To Bills Receivable A/c		80
	(Cancellation of mutual owing on account of bills)		

Balance Sheet of P Ltd. as at 1st April, 20X1 (after merger)

Particulars			Notes	₹ (in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**	1	24,000
	(a)	Share capital	2	16,704
	(b)	Reserve and surplus		
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	1,000
3		**Current liabilities**		
	(a)	Trade Payables (1,543 + 40)		1,583
	(b)	Short-term provisions		2,532
		Total		**45,819**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	29,054
2		**Current Assets**		
	(a)	Inventories		11,903
	(b)	Trade receivables		3,140
	(c)	Cash and Cash equivalents		1,722
		Total		**45,819**

Notes to accounts

S. No.	Particulars	₹
1.	**Share Capital**	
	Equity share capital	
	Authorized, issued, subscribed and paid up	
	24 crores equity shares of ₹ 10 each	**24,000**
	(9 crores shares issued for consideration other than cash)	
2.	**Reserves and Surplus**	
	General Reserve	9,699
	Securities Premium	3,000
	Foreign Project Reserve	310
	Profit and Loss Account	3,695
		16,704
3.	**Long-term borrowings**	
	Secured	

	13% Debentures	**1,000**
4.	**Property, Plant and Equipment**	
	Land & Buildings	6,000
	Plant & Machinery	19,000
	Furniture & Fittings	4,054
		29,054

Working Note: Computation of purchase consideration

The purchase consideration was discharged in the form of three equity shares of P Ltd. for every two equity shares held in V Ltd.

Purchase consideration = ₹ 6,000 lacs x 3/2 = **₹ 9,000 lacs**

Question 32

A Limited and B Limited are carrying on business of same nature. On 31st March, 20X1 the information given by both these companies is as follows:

	A Ltd. (₹)	**B Ltd. (₹)**
Share Capital:		
Equity Shares 10 each (Fully Paid)	12,00,000	7,20,000
10% Preference Shares of ₹ 100 each	6,00,000	–
8% Preference Shares of ₹ 100 each	–	5,00,000
General Reserve	3,00,000	2,50,000
Investment Allowance Reserve	–	60,000
Security Premium	2,40,000	–
Export Profit Reserve	1,80,000	1,20,000
Profit & Loss Account	2,16,000	1,92,000
9% Debentures (₹ 10 each)	3,00,000	2,00,000
Secured Loan	–	3,60,000
Sundry Creditors	3,12,000	2,04,000
Bills Payable	75,000	1,00,000
Other Current Liabilities	50,000	75,000
Land and Building	10,80,000	8,40,000
Plant and Machinery	6,00,000	5,60,000
Office Equipment	3,45,000	2,10,000
Investments	96,000	3,00,000
Stock in Trade	6,30,000	4,20,000
Sundry Debtors	4,90,000	3,20,000
Bills Receivables	60,000	70,000
Cash at Bank	1,72,000	61,000

A Limited take over B Limited on the above date, both companies agreeing on a scheme of Amalgamation on the following terms:

(a) A Limited will issue 80,000 Equity Shares of ₹ 10 each at par to the Equity Shareholders of B Limited.

(b) A Limited will issue 10% Preference Shares of ₹ 100 each to discharge the Preference Shareholders of B Limited at 15% premium in such a way that the existing dividend quantum of the preference shareholders of B Limited will not get affected.

(c) The Debentures of B Limited will be converted into equivalent number of Debentures of A Limited.

(d) All the Bills Receivable of A Limited were accepted by B Limited.

(e) A contingent liability of B Limited amounting to ₹ 72,000 to be treated as actual liability in trade payables.

(f) Expenses of Amalgamation amounted to ₹ 12,000 were borne by A Limited.

You are required to pass opening Journal Entries in the books of A Limited and prepare the opening Balance Sheet of A Limited as on 1st April, 20X1 after amalgamation, assuming that the amalgamation is in the nature of Merger.

Answer

Journal Entries in the books of A Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Business purchase A/c (W.N.1)	Dr.	13,75,000	
April 1	To Liquidator of B Ltd.			13,75,000
	(Being business of B Ltd. taken over)			
	Land & Building A/c	Dr.	8,40,000	
	Plant and machinery A/c	Dr.	5,60,000	
	Office equipment A/c	Dr.	2,10,000	
	Investments A/c	Dr.	3,00,000	
	Inventory A/c	Dr.	4,20,000	
	Debtors A/c	Dr.	3,20,000	
	Bills receivables A/c	Dr.	70,000	
	Bank A/c	Dr.	61,000	
	To General reserve A/c (W.N.2) (2,50,000 – 1,55,000)			95,000
	To Export profit reserve A/c			1,20,000
	To Investment allowance reserve A/c			60,000
	To Profit and loss A/c			1,20,000
	To Liability for 9% Debentures A/c (₹ 100 each)			2,00,000
	To Secured Loan			3,60,000
	To Trade creditors A/c			2,76,000
	To Bills payables A/c			1,00,000
	To Other current liabilities A/c			75,000
	To Business purchase A/c			13,75,000
	(Being assets and liabilities taken over)			
	Liquidator of B Ltd.	Dr.	13,75,000	
	To Equity share capital A/c			8,00,000
	To 10% Preference share capital A/c			4,00,000
	To Securities premium A/c			1,75,000

	(Being purchase consideration discharged)		
	General Reserve A/c Dr.	12,000	
	To Cash at bank		12,000
	(Being expenses of amalgamation paid)		
	Liability for 9% Debentures in B Ltd. A/c Dr.	2,00,000	
	To 9% Debentures A/c		2,00,000
	(Being debentures in B ltd. discharged by issuing own 9% debentures)		
	Bills payables A/c Dr.	60,000	
	To Bill receivables A/c		60,000
	(Cancellation of mutual owing on account of bills of exchange)		

Opening Balance Sheet of A Ltd. (after absorption) as at 1st April, 20X1

Particulars			Notes	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	30,00,000
	(b)	Reserve and surplus	2	14,94,000
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	8,60,000
3		**Current liabilities**		
	(a)	Trade Payables	4	7,03,000
	(b)	Other current liabilities	5	1,25,000
		Total		**61,82,000**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	6	36,35,000
	(b)	Non-current investments	7	3,96,000
2		**Current Assets**		
	(a)	Inventories	8	10,50,000
	(b)	Trade receivables	9	8,80,000
	(c)	Cash and Cash equivalents	10	2,21,000
		Total		**61,82,000**

Notes to accounts

S. No.	Particulars		
1	**Share Capital**		
	Equity share capital		
	2,00,000 Equity shares of ₹ 10 each		20,00,000
	(80,000 shares were issued for consideration other than cash)		
	Preference share capital		

	10,000 10% Preference shares of ₹ 100 each		10,00,000
	(4,000 shares were issued for consideration other than cash)		
			30,00,000
2	**Reserves and Surplus**		
	General Reserve:		
	Opening balance	3,00,000	
	Add: Adjustment under scheme of amalgamation	95,000	
	Less: Amalgamation expense paid	(12,000)	3,83,000
	Securities premium (2,40,000 + 1,75,000)		4,15,000
	Export profit reserve:		
	Opening balance	1,80,000	
	Add: Adjustment under scheme of amalgamation	1,20,000	3,00,000
	Investment allowance reserve		60,000
	Profit and loss account:		
	Opening balance	2,16,000	
	Add: Adjustment under scheme of amalgamation	1,20,000	3,36,000
			14,94,000
3	**Long-term borrowings**		
	Secured:		
	9% Debentures	3,00,000	
	Add: Adjustment under scheme of amalgamation	2,00,000	
	Secured loan	3,60,000	**8,60,000**
4	**Trade payables**		
	Creditors:		
	Opening balance	3,12,000	
	Add: Adjustment under scheme of amalgamation	2,76,000	5,88,000
	Bills Payables:		
	Opening balance	75,000	
	Add: Adjustment under scheme of amalgamation	1,00,000	
	Less: Cancellation of mutual owning upon amalgamation	(60,000)	1,15,000
			7,03,000
5	**Other current liabilities**		
	Opening balance	50,000	
	Add: Adjustment under scheme of amalgamation	75,000	**1,25,000**
6	**PPE**		
	Land & Building:		
	Opening balance	10,80,000	
	Add: Adjustment under scheme of amalgamation	8,40,000	19,20,000
	Plant and machinery:		
	Opening balance	6,00,000	

	Add: Adjustment under scheme of amalgamation	5,60,000	11,60,000
	Office equipment:		
	Opening balance	3,45,000	
	Add: Adjustment under scheme of amalgamation	2,10,000	5,55,000
			36,35,000
7	**Investments**		
	Opening balance	96,000	
	Add: Adjustment under scheme of amalgamation	3,00,000	**3,96,000**
8	**Inventories**		
	Opening balance	6,30,000	
	Add: Adjustment under scheme of amalgamation	4,20,000	**10,50,000**
9	**Trade receivables**		
	Debtors:		
	Opening balance	4,90,000	
	Add: Adjustment under scheme of amalgamation	3,20,000	8,10,000
	Bills Payables:		
	Opening balance	60,000	
	Add: Adjustment under scheme of amalgamation	70,000	
	Less: Cancellation of mutual owning upon amalgamation	(60,000)	70,000
			8,80,000
10	**Cash and cash equivalents**		
	Opening balance	1,72,000	
	Add: Adjustment under scheme of amalgamation	61,000	
	Less: Amalgamation expense paid	(12,000)	**2,21,000**

Working Notes:

1. Calculation of purchase consideration

	₹
Equity shareholders of B Ltd. (80,000 x ₹ 10)	8,00,000
Preference shareholders of B Ltd. (5,00,000 x 115%)	5,75,000
Purchase consideration would be	**13,75,000**

2. Amount to be adjusted from general reserve

The difference between the amount recorded as share capital issued and the amount of share capital of transferor company should be adjusted in General Reserve.

Thus, General reserve will be adjusted as follows:

	₹
Purchase consideration	13,75,000
Less: Share capital issued (₹ 7,20,000 + ₹ 5,00,000)	(12,20,000)
Amount to be adjusted from general reserve	**1,55,000**

3. Calculation of balances of Profit & Loss and Sundry Creditors of B Limited to be taken over by A

Limited

	P&L (₹)	Creditors (₹)
Balance as per Balance Sheet of B Limited	1,92,000	2,04,000
Less/Add: Contingent Trade Payable treated as Actual Liability	(72,000)	72,000
Taken by A Limited	**1,20,000**	**2,76,000**

4. ₹ 5,00,000 pref. shares are discharged at ₹ 5,75,000 (5,00,000 x 115%) by issue of 4,000 preference shares of ₹ 100 each at premium of ₹ 43.75 each.

Question 33

The Summarized Balance Sheets of Gyan Ltd. and Kiran Ltd. as on 31st March 20X1 are given below:

(₹ in lakhs)

	Gyan Ltd.	Kiran Ltd.
Liabilities		
Share capital		
Equity share capital of ₹10 each fully paid- up	650	600
10% Preference shares of ₹ 100 each fully paid-up	150	200
Reserves and Surplus		
General Reserve	–	360
Profit and Loss Account	(260)	–
Non-Current Liabilities		
12% Debentures	75	100
Loans from Bank	40	–
Current Liabilities		
Bank overdraft	15	–
Trade payables	95	105
Dividend payable	–	60
	765	**1,425**
Assets		
Non-Current Assets		
PPE	700	900
Investments	–	250
Current Assets		
Trade receivables	65	135
Cash at bank	–	140
	765	**1,425**

Gyan Ltd. has acquired the business of Kiran Ltd. as on 31st March 20X1 as per following scheme of merger:

(1) Banks agreed to waive-off 50% loan of Gyan Ltd.

(2) Gyan Ltd. will reduce its shares to ₹ 2 per share and then consolidate 5 such shares into one share of ₹ 10 (new share).

(3) Gyan Ltd. will issue 2 equity shares (new) for 3 equity shares of Kiran Ltd. The new shares are to be issued @ ₹ 20 each having a face value of ₹ 10 per share.

(4) Preference shareholders of Kiran Ltd. will be paid off by issuing equivalent number of 10% Preference shares of Gyan Ltd. of ₹ 100 each at a price of ₹ 105 per share.

(5) Dividend of Kiran Ltd. will be paid after merger to the shareholders of Kiran Ltd.

(6) Trade payables of Gyan Ltd. include ₹ 50 lakhs payable to Kiran Ltd.

Pass necessary Journal entries in the books of Gyan Ltd. and prepare Balance Sheet after merger.

Answer

Journal Entries in the books of Gyan Ltd. **(₹ in lakhs)**

Date	Particulars		Debit	Credit
31.3. 20X1	Loan from bank A/c (40 x 50%)	Dr.	20	
	To Reconstruction A/c			20
	(Being loan from bank waived off to the extent of 50%)			
	Equity share capital A/c (₹ 10)	Dr.	650	
	To Equity share capital A/c (₹ 2) [(650 x 2)/10]			130
	To Reconstruction A/c (650 –130)			520
	(Being Equity share of ₹ 10 each reduced to ₹ 2 each)			
	Equity share capital A/c (₹ 2)	Dr.	130	
	To Equity share capital A/c (₹ 10 each)			130
	(Being 5 Equity shares of ₹ 2 each consolidated to one share of ₹ 10 each)			
	Reconstruction A/c (20 + 520)	Dr.	540	
	To Profit and loss A/c (loss)			260
	To Capital reserve A/c			280
	(Being debit balance of P/L A/c set off against reconstruction account and balance transferred to capital reserve account)			
	Business purchase A/c	Dr.	1010	
	To Liquidator of Kiran Ltd.			1010
	(Being purchase of business of Kiran Ltd.)			
	PPE A/c	Dr.	900	
	Investment A/c	Dr.	250	
	Trade receivables A/c	Dr.	135	
	Cash at bank A/c	Dr.	140	
	To Trade payables A/c			105
	To Dividend payable A/c			60
	To 12% Debenture A/c			100
	To Business purchase A/c			1010
	To General Reserves A/c			150
	(Being assets, liabilities and reserves taken over under pooling of interest method)			

	Liquidator of Kiran Ltd. A/c	Dr.	1010	
	To Equity share capital A/c			400
	To 10% Preference share capital			200
	To Securities Premium [(40 x 10) + (2 x 5)]			410
	(Being payment made to liquidators of Kiran Ltd. by allotment of 40 lakh @ ₹ 10 new equity shares and 2 lakh preference shares @ ₹ 105)			
	Trade payables A/c	Dr.	50	
	To Trade receivables A/c			50
	(Being mutual owing cancelled)			
	Dividend Payable A/c	Dr.	60	
	To Bank A/c			60
	(Being dividend paid off)			

Balance Sheet of Gyan Ltd. (and reduced) after merger as on 31.3.20X1

Particulars			Notes	(₹ in lakhs)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	880
	(b)	Reserve and surplus	2	840
2		**Non-current liabilities**		
	(a)	Long term borrowings	3	195
3		**Current liabilities**		
	(a)	Short term borrowings	4	15
	(b)	Trade Payables	5	150
		Total		**2,080**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	6	1,600
	(b)	Non-current investments	7	250
2		**Current Assets**		
	(a)	Trade receivables	8	150
	(b)	Cash and Cash equivalents	9	80
		Total		**2,080**

Notes to accounts

S. No.	Particulars	(₹ in Lakhs)	(₹ in Lakhs)
1.	**Share Capital**		
	50 lakhs (13 lakh + 40 lakh) Equity shares of 10 each fully paid	530	
	(40 lakh shares issued for consideration other than cash)		
	3.5 lakhs (1.5 + 2) 10% Preference share of ₹ 100 each fully paid	350	
	(2 lakhs shares issued for consideration other than cash)		**880**

2.	**Reserves and Surplus**		
	Capital reserve	280	
	Securities Premium	410	
	General reserve	150	**840**
3.	**Long-term borrowings**		
	12% Debentures (75 + 100)	175	
	Loan from bank (40 – 20)	20	**195**
4.	**Trade payables** (95 + 105 – 50)		**150**
5.	**Short-term borrowings**		
	Bank overdraft		**15**
6.	**PPE** (700 + 900)		**1,600**
7.	**Non-current Investments**		**250**
8.	**Trade Receivables** (65 + 135 – 50)		**150**
9.	**Cash & cash equivalents**		
	Cash at Bank (140 – 60)		**80**

Working Note: Calculation of purchase consideration

	Shares
2 shares of Gyan Ltd. will be issued in exchange of every 3 shares of Kiran Ltd. (i.e. 40,00,000 equity shares of Gyan Ltd will be issued against 60,00,000 equity shares of Kiran Ltd.) [60 lakhs x 2/3]	40,00,000
	₹ in lakhs
Payment to equity shareholders (40 lakhs x ₹ 20)	800
Payment to preference shareholders (2 lakhs x ₹ 105)	210
Total Purchase consideration	**1,010**

Accounting for Amalgamation in Nature of Purchase & Merger

Question 34

Consider the following balance sheets of X Ltd. and Y Ltd. as at 31st March, 20X1:

Particulars			**Notes**	**X Ltd. ('000)**	**Y Ltd. ('000)**
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	72,00	47,00
	(b)	Reserve and surplus	2	15,50	10,50
2		**Non-current liabilities**			
	(a)	Long-term borrowings	3	5,00	3,50
3		**Current liabilities**			
	(a)	Trade Payables		4,50	3,50
	(b)	Other current liabilities		2,00	1,50
		Total		**99,00**	**66,00**

		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	63,25	36,00
	(b)	Non-current investment	5	7,00	5,00
2		**Current Assets**			
	(a)	Inventories		12,50	9,50
	(b)	Trade receivables		9,00	10,30
	(c)	Cash and Cash equivalents		7,25	5,20
		Total		**99,00**	**66,00**

Notes to accounts

S. No.	Particulars	X Ltd. ('000)	Y Ltd. ('000)
1	**Share Capital**		
	Equity shares capital (₹ 10 each)	50,00	30,00
	14% Preference Shares capital ₹ 100 each	22,00	17,00
		72,00	**47,00**
2	**Reserves and Surplus**		
	General reserve	5,00	2,50
	Export profit reserve	3,00	2,00
	Investment allowance reserve	–	1,00
	Profit and loss account	7,50	5,00
		15,50	**10,50**
3	**Long-term borrowings**		
	13% Debentures of ₹ 100 each	**5,00**	**3,50**
4	**Property, Plant and Equipment**		
	Land and Building	25,00	15,50
	Plant and machinery	32,50	17,00
	Furniture	5,75	3,50
		63,25	**36,00**
5	**Non-current investments**		
	Investments at cost	**7,00**	**5,00**

X Ltd. takes over Y Ltd. on 1st April, 20X1. X Ltd. discharges the purchase consideration as below:

(i) Issued 3,50,000 equity shares of ₹ 10 each at par to the equity shareholders of Y Ltd.

(ii) Issued 15% preference shares of ₹ 100 each to discharge the preference shareholders of Y Ltd. at 10% premium.

The debentures of Y Ltd. will be converted into equivalent number of debentures of X Ltd. The statutory reserves of Y Ltd. are to be maintained for 2 more years.

Show the (i) Journal entries and (ii) Balance sheet of X Ltd. after amalgamation on the assumption that:

(a) the amalgamation is in the nature of merger.

(b) the amalgamation is in the nature of purchase.

Answer

(a) Amalgamation in the nature of merger:

(i) Journal Entries in the Books of X Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1	Business Purchase	Dr.	53,70,000	
Apr. 1	To Liquidator of Y Ltd. A/c			53,70,000
	(Consideration payable for business taken over from Y Ltd)			
	Sundry Assets of Y Ltd	Dr.	66,00,000	
	General Reserve A/c	Dr.	4,20,000	
	To Sundry Liabilities of Y Ltd A/c			8,50,000
	To Export profit Reserve A/c			2,00,000
	To Investment allowance Reserve A/c			1,00,000
	To Profit & Loss A/c			5,00,000
	To Business Purchase A/c			53,70,000
	(Incorporation of assets and liabilities of Y Ltd. at book values and difference of share capital & PC being adjusted with free Reserves)			
	Liquidator of Y Ltd.	Dr.	53,70,000	
	To Equity Share Capital A/c			35,00,000
	To 15% Preference Share Capital A/c			18,70,000
	(Discharge of consideration for Y Ltd.' s business)			
	Sundry Liabilities in Y Ltd (13% Debentures in Y Ltd.)	Dr.	3,50,000	
	To 13% Debentures			3,50,000
	(Allotment of 13% Debenture to debenture holders of Y Ltd. at Par)			

(ii) Balance Sheet of X Ltd.

Particulars			Notes	₹ in '000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,570
	(b)	Reserve and surplus	2	1,930
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	850
3		**Current liabilities**		
	(a)	Trade Payables		800
	(b)	Other current liabilities		350
		Total		**16,500**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	9,925
	(b)	Non-current investment		1,200

2		**Current Assets**		
	(a)	Inventories		2,200
	(b)	Trade receivables		1,930
	(c)	Cash and Cash equivalents		1,245
		Total		**16,500**

Notes to accounts

S. No.	Particulars		₹ in '000	₹ in '000
1	**Share Capital**			
	8,50,000 Equity Shares of ₹ 10 each			8,500
	18,700, 15% Preference Shares of ₹ 100 each			1,870
	22,000, 14% Preference Shares of ₹ 100 each			2,200
				12,570
2	**Reserves and Surplus**			
	General Reserve of X Ltd.	500		
	Add: General reserve of Y Ltd.	250	750	
	Less: Adjustment for amalgamation*		(670)	80
	Export Profit Reserve of X Ltd.		300	
	Add: Export Profit Reserve of Y Ltd.		200	500
	Investment Allowance Reserve			100
	Profit & Loss A/c of X Ltd.		750	
	Add: Profit & Loss A/c of Y Ltd.		500	1,250
				1,930
3	**Long-term borrowings**			
	Secured			
	8,500 13% Debentures of ₹ 100 each			**850**
4	**Property, Plant and Equipment**			
	Land & Buildings			4,050
	Plant & Machinery			4,950
	Furniture & Fittings			925
				9,925

*The difference between the amount recorded as share capital issued and the amount of share capital of transferor-company should be adjusted in reserves.

Thus, Adjustment for amalgamation = ₹ '000 (53,70 – 47,00) = ₹ ('000) 670

(b) Amalgamation in the nature of purchase:

(i) Journal Entries in the Books of X Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
20X1 Apr. 1	Business Purchase	Dr.	53,70,000	
	To Liquidator of Y Ltd. A/c			53,70,000

	(Consideration payable for business taken over from Y Ltd)		
	Sundry Assets of Y Ltd Dr.	66,00,000	
	To Sundry Liabilities of Y Ltd A/c		8,50,000
	To Capital Reserve A/c		3,80,000
	To Business Purchase A/c		53,70,000
	(Incorporation of various assets and liabilities taken over from Y Ltd. at book values and difference of share capital and purchase consideration being credited to Capital Reserve)		
	Liquidator of Y Ltd. Dr.	53,70,000	
	To Equity Share Capital A/c		35,00,000
	To 15% Preference Share Capital A/c		18,70,000
	(Discharge of consideration for Y Ltd.' s business)		
	13% Debentures in Y Ltd. Dr.	3,50,000	
	To 13% Debentures		3,50,000
	(Allotment of 13% Debentures to debenture holders of Y Ltd. at Par)		
	Amalgamation adjustment reserve A/c Dr.	3,00,000	
	To Export profit Reserve A/c		2,00,000
	To Investment allowance Reserve A/c		1,00,000
	(Being statutory reserve recognizes by notional entry)		

(ii) Balance Sheet of X Ltd.

Particulars			Notes	₹ in'000
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	12,570
	(b)	Reserve and surplus	2	1,930
2		**Non-current liabilities**		
	(a)	Long-term borrowings	3	850
3		**Current liabilities**		
	(a)	Trade Payables		800
	(b)	Other current liabilities		350
		Total		**16,500**
		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	4	9,925
	(b)	Non-current investment		1,200
2		**Current Assets**		
	(a)	Inventories		2,200
	(b)	Trade receivables		1,930

	(c)	Cash and Cash equivalents		1,245
		Total		**16,500**

Notes to accounts

S. No.	Particulars	₹ in '000	₹ in '000
1	**Share Capital**		
	8,50,000 Equity Shares of ₹ 10 each		8,500
	18,700, 15% Preference Shares of ₹ 100 each		1,870
	22,000, 14% Preference Shares of ₹ 100 each		2,200
			12,570
2	**Reserves and Surplus**		
	Capital Reserve		380
	General Reserve		500
	Amalgamation adjustment reserve		(300)
	Export Profit Reserve		500
	Investment Allowance Reserve		100
	Surplus (Profit & Loss A/c)		750
			1,930
3	**Long-term borrowings**		
	Secured		
	8,500 13% Debentures of ₹ 100 each		**850**
4	**Property, Plant and Equipment**		
	Land & Buildings		4,050
	Plant & Machinery		4,950
	Furniture & Fittings		925
			9,925

Workings Notes: Capital Reserve arising on Amalgamation:

		₹ ('000)	₹ ('000)
(A)	**Net Assets taken over:**		
	Sundry Assets		66,00
	Less: 13% Debentures	3,50	
	Trade payables	3,50	
	Other current liabilities	1,50	(8,50)
			57,50
(B)	**Purchase consideration:**		
	To Equity Shareholders of Y Ltd.		35,00
	To Preference Shareholders of Y Ltd.		18,70
			53,70
(C)	**Capital Reserve (A – B)**		**3,80**

CHAPTER - 15
AS 15: Employee Benefits

Accounting of Short Term Employee Benefits

Question 1

Entity XY is required to pay salary of ₹ 2 crore for the year 20X1-X2. It actually paid a salary of ₹ 1.90 crore up to 31st March 20X2, and balance in April 20X2. Determine actual costs to be recognized in the year 20X1-X2 and any amounts to be shown through balance sheet.

Answer

Particular	₹
Total expense for the year (20X1-X2)	2 crore
Amount to be shown under liability unpaid (₹ 2 crore – ₹ 1.90 crore)	0.10 crore

Accounting of Post Employment Benefits

Question 2

An employee Roshan has joined a company XYZ Ltd. in the year 20X1. The annual emoluments of Roshan as decided is ₹ 14,90,210. The company also has a policy of giving a lump sum payment of 25% of the last drawn annual salary of the employee for each completed year of service if the employee retires after completing minimum 5 years of service. The salary of the Roshan is expected to grow @ 10% per annum.

The company has inducted Roshan in the beginning of the year and it is expected that he will complete the minimum five year term before retiring. Thus, he will get 5 yearly increments.

What is the amount the company should charge in its Profit and Loss account every year as cost for the Defined Benefit obligation? Also calculate the current service cost and the interest cost to be charged per year assuming a discount rate of 8%.

(P.V factor for 8%: 0.735, 0.794, 0.857, 0.926, 1)

Answer

Calculation of Defined Benefit Obligation (DBO)

Expected last drawn salary = ₹ 14,90,210 x 110% x 110% x 110% x 110% x 110% = ₹ 24,00,000

Defined Benefit Obligation (DBO) = ₹ 24,00,000 x 25% x 5 = ₹ 30,00,000

Amount of ₹ 6,00,000 will be charged to Profit and Loss Account of the company every year as cost for Defined Benefit Obligation.

Calculation of Current Service Cost

Year	Equal apportioned amount of DBO [i.e. ₹ 30,00,000/5 years]	Discounting @ 8% PV factor	Current service cost (Present Value)
A	B	C	D = B x C
1	6,00,000	0.735 (4 Years)	4,41,000
2	6,00,000	0.794 (3 Years)	4,76,400
3	6,00,000	0.857 (2 Years)	5,14,200

4	6,00,000	0.926 (1 Year)	5,55,600
5	6,00,000	1 (0 Year)	6,00,000

Calculation of Interest Cost to be charged per year

Year	Opening balance	Interest cost	Current service cost	Closing balance
A	**B**	**C = B x 8%**	**D**	**E = B + C + D**
1	0	0	4,41,000	4,41,000
2	4,41,000	35,280	4,76,400	9,52,680
3	9,52,680	76,214	5,14,200	15,43,094
4	15,43,094	1,23,447	5,55,600	22,22,141
5	22,22,141	1,77,859* (B.F.)	6,00,000	30,00,000

*Due to approximations used in calculation, this figure is adjusted accordingly.

Question 3

Omega Limited belongs to the engineering industry. The company received an actuarial valuation for the first time for its pension scheme which revealed a surplus of ₹ 6 lakhs. It wants to spread the same over the next 2 years by reducing the annual contribution to ₹ 2 lakhs instead of ₹ 5 lakhs. The average remaining life of the employees is estimated to be 6 years. You are required to advise the company on the following items from the viewpoint of finalization of accounts, taking note of the mandatory accounting standards.

Answer

According to **AS 15** (Revised 2005) 'Employee Benefits', actuarial gains and losses should be **recognized immediately** in the statement of profit and loss as income or expense. Therefore, surplus amount of **₹ 6 lakhs** is required to be **credited to the profit and loss statement of the current year**.

Question 4

The following data apply to 'X' Ltd. defined benefit pension plan for the year ended 31.03.20X2 calculate the actual return on plan assets:

Benefits paid	2,00,000
Employer contribution	2,80,000
Fair market value of plan assets on 31.03.20X2	11,40,000
Fair market value of plan assets as on 31.03.20X1	8,00,000

Answer

Calculation of actual return on plan asset

Particular		₹
Fair value of plan assets on 31.3.20X1		8,00,000
Add: Employer contribution		2,80,000
Less: Benefits paid		(2,00,000)
	(A)	8,80,000